

AIONION CAPITAL MARKET SERVICES PRIVATE LIMITED

TREATMENT OF INACTIVE ACCOUNT/DORMANT ACCOUNT POLICY

DOCUMENT VERSION CONTROL

DATE	VERSION	PREPARED BY	REVIEWED BY	APPROVED BY
04/02/25	1.0	Compliance Officer	Nandakumar	Dileep Keerthi Kumar
02/03/26	1.1	Compliance Officer	A.S. Rajasekaran	Board of Directors

Document Definition: This “Treatment of Inactive Account / Dormant Account Policy” defines the framework and procedures adopted by the Company for identification, monitoring, classification, control, reactivation, and risk management of inactive and dormant client accounts.

The Policy is formulated to ensure compliance with applicable regulatory requirements issued by Securities and Exchange Board of India, stock exchanges, and depositories, and to safeguard client assets and transactions from unauthorized or fraudulent activities.

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TREATMENT OF INACTIVE ACCOUNT/DORMANT ACCOUNT POLICY

APPLICABILITY & AWARENESS

The Board of directors has approved the following guide lines for the company for treatment with the inactive/dormant clients with reference to NSE Circular Ref No: NSE/INSP/46506 Dated: December 01, 2020, along with Exchange circular NSE/INSP/43488 dated February 10, 2020.

DEFINITION OF 'INACTIVE' ACCOUNTS

An account is considered inactive if no trades have been executed for 24 months across all exchanges. The Back office operation team shall carry out a yearly review of the client accounts. The client who has not done even a single trade in the past 24 months, will be treated as an "Inactive/Dormant Client" and such client accounts will be treated as "Inactive/Dormant Client Accounts".

Inactive shall be Client Specific and Day specific.

TREATMENT OF DORMANT ACCOUNTS:

Will exactly follow as per defined exchange circular:

- Members are required to identify and flag inactive accounts in the UCC (Unified Client Clearing) database.
- Members must set aside funds and securities in separate client bank/client collateral demat accounts for clients whose accounts are inactive due to the non-availability of the client's bank account.
- Members must continue efforts to trace clients and settle their funds and securities.
- If a client claims for unsettled funds/securities, the member must satisfy itself about the client's credentials and immediately repay the funds and deliver the securities.
- Members must update the Exchange quarterly on the settlement of such accounts
- The requirement for flagging the client as inactive in the UCC database of the Exchanges and the exemption for reporting (weekly submission of securities holding and monthly upload of client funds and securities balances) shall continue to be applicable if no trades are carried out by the client in the last 24 (Twenty Four) months across all Exchanges.

Exemption :

However, in case a client has undertaken transaction through the Member, with respect to IPO/Mutual Fund subscription and DP operations (if the Member is a DP) during this

period, the same can be considered and the requirement for fresh documentation, due diligence, and IPV may not be required.

DOCUMENTS REQUIRED FOR ACCOUNT REACTIVATION

- Fresh documentation, due diligence and IPV where a client is coming for reactivation after a period of 1 year of being flagged as inactive, As much as opening of new account, without the process of KYC form, Esign etc
- Account Reactivation Letter.
- Financial Proof (list of valid Income proof)

PROCEDURE FOR REACTIVATION

The Back office operations team can reactivate a client account which has been made Inactive only when the following documents are obtained from the client:

- a. Communication in writing requesting the account to be reactivated.
- b. Updated financial details (Financial Statements in case of corporate clients)